

Development Impact Fee Annual Report City of Hemet

Fiscal Year Ending June 30, 2025



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Table of Contents

Executive Summary	4
Section 1 – Requirements of the Mitigation Fee Act (AB1600)	5
Section 2 – Annual Report	7
Summary Table	7
Fund 315 – Public Meetings Facilities Fee	9
Fund 316 – General Facilities Fee	12
Fund 326 – Flood Control (Storm Drainage Facilities) Fee	15
Fund 329 – Bridges, Streets, & Traffic Fee.....	18
Fund 331 – Law Enforcement Facilities Fee.....	21
Fund 332 – Fire Facilities Fee	24
Fund 361 – Park Development Fee	27
Fund 362 – Valley-Wide Park Development Fee.....	30
Fund 363 – Library Facilities Fee.....	33
Contact Information	36

Executive Summary

Development Impact Fees refer to charges levied by local governments on fresh development endeavors, aimed at funding the procurement, building, and enhancement of public facilities and infrastructure required to support these undertakings. In accordance with California state law, local authorities are obligated to compile an annual report on the state of their Development Impact Fee (DIF) Program, with further assessments mandated every fifth year. This report fulfills the legal prerequisites for Fiscal Year 2024-25 (FY25), spanning from July 1, 2024, to June 30, 2025. The City of Hemet presently gathers the development impact fees outlined in the table provided below. Each development impact fee must be deposited and managed in a separate fund.

Fund	Fee
315	Public Meetings Facilities Fee
316	General Facilities Fee
326	Flood Control Fee (Storm Drainage Facilities Fee)
329	Bridges, Streets, & Traffic Fee
331	Law Enforcement Facilities Fee
332	Fire Facilities Fee
361	Park Development Fee
362	Valley-Wide Park Development Fee
363	Library Facilities Fee

The City of Hemet (City) initiated its DIF Program on January 23, 2001, concurrently with the adoption of Ordinance No. 1639, which involved a revision and renumbering of the City Municipal Code. These fees were initially established by Ordinance No. 1354 as part of the said revision. The specific dollar amounts of the fees were originally adopted on January 23, 2001, through the same Ordinance No. 1639. Subsequently, the fee figures for non-residential property were last updated on July 26, 2004, under Resolution No. 3837, while the residential property fee amounts were last revised on January 23, 2006, as per Resolution No. 3981.

Furthermore, on August 22, 2006, the authorization for the establishment of the Valley Wide Facilities Fee Fund took place, earmarking 16.3% of all new park impact fees for this purpose. On a separate note, the collection of the Public Meeting Facilities Fee has been discontinued.

The most recent Nexus Study, conducted by TischlerBise and dated January 3, 2006, was followed by the City Council's adoption of Resolution No. 3981 on January 23, 2006. This resolution approved the Nexus Study methodology and made amendments to Resolution No. 3837 concerning DIFs for residential development projects. However, the rates for non-residential projects remained unchanged as stated in Resolution No. 3981. It was specified that the City Council would address adjustments to DIFs for commercial and/or industrial projects separately and later with proper notice.

Section 1 – Requirements of the Mitigation Fee Act (AB1600)

In 1987, the state of California enacted Assembly Bill (AB) 1600, also known as the Mitigation Fee Act, which introduced Section 66000 et. seq. of the Government Code. This Act was later amended by Assembly Bill 518 and Senate Bill (SB) 1693. According to AB1600, the city is obligated to provide annual reports on fee information and submit additional reports every fifth year. Within 180 days after the conclusion of each fiscal year, the City must make accessible the following information from the previous fiscal year:

Requirement 1 – Brief description of the type of fee in the account or fund.

Requirement 2 – Amount of the fee.

Requirement 3 – Beginning and ending balance in the account or fund.

Requirement 4 – Amount of fees collected and the interest earned during the previous year.

Requirement 5 – Identification of each public improvement for which fees were expended and the amount of expenditures, including the total percentage of the cost of the public improvement that was funded with fees.

Requirement 6 – An identification of an approximate date by which the construction of the public improvement will commence if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement and the public improvement remains incomplete.

Requirement 7 – Description of each interfund transfer or loan made from the account, including the public improvement on which the transferred or loaned fees will be expended, and when each loan will be repaid and the rate of interest the account will receive on the loan.

Requirement 8 – Identification of any refunds made once determined that sufficient monies have been collected to fund fee-related projects.

After the initial deposit into the account or fund, and subsequently every five years, including the fifth fiscal year, the City is required to make the following findings regarding any remaining funds in the fee account, regardless of whether those funds are committed or uncommitted:

- Identification of the purpose to which the fees are to be put.
- Demonstrate a reasonable relationship between the use of the fee and the type of development paying the fee.
- Identification of all sources and amounts of funding anticipated to complete financing in incomplete improvements identified as part of the City's annual report.
- Identification of the approximate dates on which the funding referred to in Requirement 3 is expected to be deposited into the appropriate account or fund.

The City is obligated to make this information accessible for public review and must present it during the next regularly scheduled public meeting, with at least 15 days' notice after the information is made available to the public. This report fulfills the annual reporting requirements for Fiscal Year 2024-25.

This report specifically addresses the annual reporting requirements and does not encompass the five-year reporting obligations. The City previously fulfilled the five-year report in FY 2020-21, and the next five-year report will be performed around December 2026, for FY 2022-26.

Section 2 – Annual Report

The subsequent section contains essential information required to comply with the legal prerequisites for each impact fee fund. This includes a concise description of the fee, its amount, the initial and final balances, the collected fee revenues, earned interest, and the expenditures on each project, along with the percentage funded by the fees. Additionally, there is a summarized table indicating whether adequate funds have been designated for future projects and an approximate date for the commencement of public improvement construction if sufficient funds have been identified. Furthermore, any loans and refunds from the account are also clearly identified in this section.

Summary Table

Table 1. Summary Table on the following page provides an accounting of each impact fee fund and a total impact fee account balance. The table summarizes the starting fund balance, the amount of fees collected, the interest earned, the total expenditures, and the fiscal year ending fund balance.

Table 1. Fund Summary. Source: City of Hemet Trial Balance FY 2024-25.

Table 1. Fund Summary	Fund 315 – Public Meeting Facilities	Fund 316 – General Facilities	Fund 326 – Flood Control	Fund 329 – Bridges, Streets, & Traffic	Fund 331 – Law Enforcement Facilities	Fund 332 – Fire Facilities	Fund 361 – Park Development	Fund 362 – Valley-Wide Park Development	Fund 363 – Library Facilities
Beginning Fund Balance	\$232,104	\$1,761,429	\$6,510,210	\$8,621,530	\$864,916	\$1,586,782	\$3,310,852	\$548,630	\$1,345,952
Revenues									
Fees Collected	-	\$203,635	\$633,666	\$446,299	\$76,690	\$126,929	\$210,546	\$34,323	\$88,407
Interest Earned	\$7,442	\$59,571	\$228,333	\$316,923	\$29,551	\$161,381	\$110,570	\$18,349	\$42,770
Fair Market Value Adj. ¹	\$2,338	\$18,715	\$71,733	\$99,565	\$9,284	\$50,700	\$34,737	\$5,764	\$13,437
Other Revenues ²	-	-	\$264,590	\$413,132	-	-	-	-	-
Total Revenues	\$9,780	\$281,921	\$1,198,322	\$1,275,919	\$115,524	\$339,010	\$355,853	\$58,436	\$144,614
Expenses									
Project Expenses	-	\$160,509	\$326,216	\$499,932	-	-	\$18,260	-	\$137,710
Other Expenses ³	-	-	-	-	-	-	-	-	-
Total Expenses	-	\$160,509	\$326,216	\$499,932	-	-	\$18,260	-	\$137,710
Transfers In	-	-	-	-	-	-	-	-	-
Transfers Out	-	-	-	-	-	-	-	-	-
Ending Fund Balance	\$241,884	\$1,882,840	\$7,382,315	\$9,397,517	\$980,440	\$1,925,792	\$3,648,445	\$607,066	\$1,352,856

¹ Fair Market Value Adjustment includes changes to City investment.² Other Revenues include reimbursements.³ Other Expenses include consultant services for reporting requirements.

AB 516 Prior-Year Project Status Report

Assembly Bill 516 (signed October 11, 2023, effective January 1, 2024) amended Government Code §66006 to require that each annual report identify each public improvement listed in the previous year's report and state whether construction commenced on the approximate date noted. For projects that did not commence as noted, the report must provide a reason for the delay and a revised approximate construction start date. The table below fulfills this requirement for projects identified in the FY 2023-24 Development Impact Fee Annual Report.

Table 2. Prior-Year Project Status (AB 516 Requirement)

Fund	Project No.	Project Name	FY 2023-24 Start Date	Construction Commenced?	Reason for Delay / Revised Date
316	5667	Police Facility Security Renovation	In Progress	Yes	—
316	5672	ERP Upgrades	TBD	Yes — In Progress	—
326	2408	West Hemet MDP Line C	In Progress	Yes	—
326	TBD	State St Storm Drain Replacement	In Progress	Yes	—
326	TBD	Westside Storm Drainage Master Plan	In Progress	Yes	—
326	TBD	Drainage Master Plan	In Progress	Yes	—
329	5706	Esplanade Ave Improvements	In Progress	Yes	—
329	5723	Traffic Signal @ Warren & Devonshire	TBD	Not yet — in design	Design ongoing; construction anticipated FY 2025-26
329	5724	Citywide TS Visibility Upgrades	In Progress	Yes	—
329	2412	Stetson/BV Left Signal Upgrade	In Progress	Yes	—
329	2413	Kirby/Florida Left Signal Upgrade	In Progress	Yes	—
329	TBD	Warren Road Improvements	In Progress	Yes	—
361	5777	Skate Plaza Lighting and Shade	In Progress	Yes	—
361	TBD	Skate Park	In Progress	Yes	—
362	TBD	Park Expansion — DVL City Portion	TBD	No — not yet started	Pending coordination with Valley Wide Recreation & Parks District; TBD

Fund	Project No.	Project Name	FY 2023-24 Start Date	Construction Commenced?	Reason for Delay / Revised Date
363	TBD	Capital Outlay — Books/AV Materials	In Progress	Yes	—
363	TBD	Library Services Operating	In Progress	Yes	—
363	TBD	Adult Services Program	In Progress	Yes	—
363	TBD	Child Services Program	In Progress	Yes	—
363	TBD	Adult Literacy Program	In Progress	Yes	—

Fund 315 – Public Meetings Facilities Fee

Requirement 1. Brief description of the type of fee in the account or fund.

The Public Meetings Facilities Fee supports the construction of community centers and public buildings that are accessible for community use. These buildings are distinct from general facilities, which are utilized by the City staff to carry out their municipal service responsibilities. The establishment of the Public Meetings Facilities Fee dates to Ordinance No. 1639, adopted on January 23, 2001. However, the City ceased collecting this fee as of August 2007.

Requirement 2. Amount of the fee.

Since August 2007, the Public Meetings Facilities Fee has not been collected. The funds previously collected are still accruing interest, and the City intends to utilize the remaining funds for future projects identified in Table 315.c.

The Public Meetings Facilities Fee has not been collected since August 2007. No current fee schedule is in effect for this fund.

Requirement 3. Beginning and ending balance in the account or fund.

Table 315.b provides a summary of the initial and final fund balances for the Public Meetings Facilities Fee during FY 2024-25.

Requirement 4. Amount of fees collected, and the interest earned during the previous year.

Table 315.b provides a summary of the fees collected and the interest earned for the Public Meetings Facilities Fee during FY 2024-25.

Table 315.b: Public Meetings Facilities Fee Fund Summary

Fund 315 – Public Meetings Facilities Fee	
Beginning Fund Balance as of July 1, 2024	\$232,104.33
Revenues	
Fees Collected	-
Interest Earned	\$7,441.83
Fair Market Value Adjustment ¹	\$2,337.94
Other Revenues ²	-
Total Revenues	\$9,779.77
Expenses	
Project Expenses	-
Other Expenses ³	-

Fund 315 – Public Meetings Facilities Fee	
Total Expenses	\$0.00
Transfers In	-
Transfers Out	-
Ending Balance as of June 30, 2025	\$241,884.10

¹ Fair Market Value Adjustment includes changes to City investment.

² Other Revenues include reimbursements.

³ Other Expenses include consultant services for reporting requirements.

Requirement 5. Identification of each public improvement for which fees were expended and the amount of expenditures, including the total percentage of the cost of the public improvement that was funded with fees.

During FY 2024-25, there were no recorded project expenditures for Fund 315.

Requirement 6. An identification of an approximate date by which the construction of the public improvement will commence if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement and the public improvement remains incomplete.

Table 315.c provides a summary of the projected future expenditures for Fund 315 and the expected construction start date. As additional funds become available, the City's Capital Improvement Budget team will diligently identify and allocate funds for eligible projects, incorporating them into future Capital Improvement Program (CIP) budgets.

Table 315.c: Public Meetings Facilities Fee Project Expenditures

Project No.	Project Name	Project Budget	Fund Expense to Date	Fund Expense FY 2024-25	Fund Future Expenditures	% Funded by Fee	Approx. Construction Start Date
5631	Library Second Floor Energy Enhancement Construction/Expansion/Reconfigure Lighting, Audio/Visual, HVAC ducting	\$206,000	-	-	\$206,000	100%	TBD
	GRAND TOTAL	\$206,000	-	-	\$206,000		

¹ Development Impact Fee Annual and Five-Year Report for the Fiscal Year and Five Years Ending June 30, 2021.

² City of Hemet Trial Balance Expenditure Detail FY 2024-25.

Requirement 7. Description of each interfund transfer or loan made from the account, including the public improvement on which the transferred or loaned fees will be expended, and when each loan will be repaid and the rate of interest the account will receive on the loan.

In FY 2024-25, there were no new transfers or loans made from this fund.

Requirement 8. The report identifies any refunds issued once it is determined that sufficient funds have been collected to support fee-related projects.

In FY 2024-25, no refunds were made from this fund, and no persons or entities were identified to receive refunds.

Fund 316 – General Facilities Fee

Requirement 1. Brief description of the type of fee in the account or fund.

The General Facilities Fee is designated to finance general office or work facilities and equipment utilized by City staff to fulfill their daily duties. The City officially initiated its DIF Program and the General Facilities Fee on January 23, 2001, through the adoption of Ordinance No. 1639, which involved a revision and renumbering of the City Municipal Code.

On July 26, 2004, the City Council approved the current fee amounts for non-residential property, as established by Resolution No. 3837. Subsequently, on January 23, 2006, the City Council adopted Resolution No. 3981, which established the present fee amounts for residential property based on the recommendations of the Nexus Study dated January 3, 2006, prepared by TischlerBise.

As per Resolution 3981, the rates for non-residential projects were not updated, and it stipulated that the City Council would consider adjustments to DIFs for commercial and/or industrial projects through separate and future noticed actions.

Requirement 2. Amount of the fee.

Table 316.a provides a summary of the General Facilities Fees for FY 2024-25.

Table 316.a: General Facilities Fee

Land Use Type	Fee Amount
Mobile Home/Senior (per DU)	\$493
Multi-Family (per DU)	\$669
Single Family (per DU)	\$780
Townhome/Duplex (per DU)	\$591
Commercial/Office (per SF)	\$0.116
Industrial (per SF)	\$0.116

Requirement 3. Beginning and ending balance in the account or fund.

Table 316.b provides a summary of the initial and final fund balances for the General Facilities Fee during FY 2024-25.

Requirement 4. Amount of fees collected, and the interest earned during the previous year.

Table 316.b provides a summary of the fees collected and the interest earned for the General Facilities Fee during FY 2024-25.

Table 316.b: General Facilities Fee Fund Summary

Fund 316 – General Facilities Fee	
Beginning Fund Balance as of July 1, 2024	\$1,761,428.58
Revenues	
Fees Collected	\$203,634.58
Interest Earned	\$59,571.31
Fair Market Value Adjustment ¹	\$18,715.01
Other Revenues ²	-
Total Revenues	\$281,920.90
Expenses	
Project Expenses	\$160,509.31
Other Expenses ³	-
Total Expenses	\$160,509.31
Transfers In	-
Transfers Out	-
Ending Balance as of June 30, 2025	\$1,882,840.17

¹ Fair Market Value Adjustment includes changes to City investment.

² Other Revenues include reimbursements.

³ Other Expenses include consultant services for reporting requirements.

Requirement 5. Identification of each public improvement for which fees were expended and the amount of expenditures, including the total percentage of the cost of the public improvement that was funded with fees.

Table 316.c provides a summary of the expenditures made on General Facilities Fee projects during FY 2024-25.

Requirement 6. An identification of an approximate date by which the construction of the public improvement will commence if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement and the public improvement remains incomplete.

Table 316.c provides a summary of the projected future expenditures for Fund 316 and the expected construction start date. As additional funds become available, the City's Capital Improvement Budget team will diligently identify and allocate funds for eligible projects, incorporating them into future Capital Improvement Program (CIP) budgets.

Table 316.c: General Facilities Fee Project Expenditures

Project No.	Project Name	Project Budget	Fund Expense to Date	Fund Expense FY 2024-25	Fund Future Expenditures	% Funded by Fee	Approx. Construction Start Date
5667	Police Facility Security Renovation	\$1,527,000	\$1,443,163	-	\$83,837	95%	In Progress
5721	Clarifier Units for Corporation Yard	\$107,340	\$107,340	-	-	100%	TBD
5672	Enterprise Resource Planning System	\$1,000,000	\$281,383	\$160,509	\$558,617	100%	In Progress
TBD	Street Lights Replacement	\$150,000	-	-	\$150,000	100%	TBD
TBD	ADA Compliance Improvements	\$500,000	-	-	\$500,000	100%	TBD
TBD	Municipal Building Updates and Expansion	\$500,000	-	-	\$500,000	100%	TBD
TBD	Municipal Building Energy Management System Update	\$450,000	-	-	\$450,000	100%	TBD
	GRAND TOTAL	\$4,234,340	\$1,831,886	\$160,509	\$2,242,454		

¹ Development Impact Fee Annual and Five-Year Report for the Fiscal Year and Five Years Ending June 30, 2021.

² City of Hemet Trial Balance Expenditure Detail FY 2024-25.

Requirement 7. Description of each interfund transfer or loan made from the account, including the public improvement on which the transferred or loaned fees will be expended, and when each loan will be repaid and the rate of interest the account will receive on the loan.

In FY 2024-25, there were no new transfers or loans made from this fund.

Requirement 8. The report identifies any refunds issued once it is determined that sufficient funds have been collected to support fee-related projects.

In FY 2024-25, no refunds were made from this fund, and no persons or entities were identified to receive refunds.

Fund 326 – Flood Control (Storm Drainage Facilities) Fee

Requirement 1. Brief description of the type of fee in the account or fund.

The Flood Control (Storm Drainage Facilities) Fee supports street gutter facilities, inlets, and a pipeline network of storm drain lines that transport runoff to various smaller lines, creeks, aqueducts, and channels across the City. The City initiated its DIF Program and the Flood Control Fee on January 23, 2001, through the adoption of Ordinance No. 1639, which involved a revision and renumbering of the City Municipal Code.

On July 26, 2004, the City Council established the current fee amounts for non-residential property through Resolution No. 3837. Subsequently, on January 23, 2006, the City Council adopted Resolution No. 3981, which determined the current fee amounts for residential property based on the recommendations of the Nexus Study dated January 3, 2006, prepared by TischlerBise.

As per Resolution 3981, the rates for non-residential projects were not updated, and it specified that the City Council would consider adjustments to DIFs for commercial and/or industrial projects through separate and future noticed actions.

Requirement 2. Amount of the fee.

Table 326.a provides a summary of the Flood Control (Storm Drainage Facilities) Fees for FY 2024-25.

Table 326.a: Flood Control (Storm Drainage Facilities) Fee

Land Use Type	Fee Amount
Mobile Home/Senior (per DU)	\$1,147
Multi-Family (per DU)	\$474
Single Family (per DU)	\$1,405
Townhome/Duplex (per DU)	\$1,013
Commercial/Office (per SF)	\$0.402
Industrial (per SF)	\$0.344

Requirement 3. Beginning and ending balance in the account or fund.

Table 326.b provides a summary of the initial and final fund balances for the Flood Control (Storm Drainage Facilities) Fee during FY 2024-25.

Requirement 4. Amount of fees collected, and the interest earned during the previous year.

Table 326.b provides a summary of the fees collected and the interest earned for the Flood Control (Storm Drainage Facilities) Fee during FY 2024-25.

Table 326.b: Flood Control (Storm Drainage Facilities) Fee Fund Summary

Fund 326 – Flood Control (Storm Drainage Facilities) Fee	
Beginning Fund Balance as of July 1, 2024	\$6,510,209.90
Revenues	
Fees Collected	\$633,665.69
Interest Earned	\$228,332.65
Fair Market Value Adjustment ¹	\$71,733.31
Other Revenues ²	\$264,590.00
Total Revenues	\$1,198,321.65
Expenses	
Project Expenses	\$326,216.18
Other Expenses ³	-
Total Expenses	\$326,216.18
Transfers In	-
Transfers Out	-
Ending Balance as of June 30, 2025	\$7,382,315.37

¹ Fair Market Value Adjustment includes changes to City investment.

² Other Revenues include reimbursements.

³ Other Expenses include consultant services for reporting requirements.

Requirement 5. Identification of each public improvement for which fees were expended and the amount of expenditures, including the total percentage of the cost of the public improvement that was funded with fees.

Table 326.c provides a summary of the expenditures made on Flood Control Fee projects during FY 2024-25.

Requirement 6. An identification of an approximate date by which the construction of the public improvement will commence if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement and the public improvement remains incomplete.

Table 326.c provides a summary of the projected future expenditures for Fund 326 and the expected construction start date. As additional funds become available, the City's Capital Improvement Budget team will diligently identify and allocate funds for eligible projects, incorporating them into future Capital Improvement Program (CIP) budgets.

Table 326.c: Flood Control Fee Project Expenditures

Project No.	Project Name	Project Budget	Fund Expense to Date	Fund Expense FY 2024-25	Fund Future Expenditures	% Funded by Fee	Approx. Construction Start Date
2408	West Hemet MDP Line C	\$7,673,000	\$253,264	\$253,264	\$7,419,736	0%	In Progress
TBD	State St Storm Drain Replacement	\$2,750,000	\$124,533	-	\$2,625,467	100%	In Progress
TBD	Westside Storm Drainage Master Plan	\$500,000	\$42,324	-	\$457,676	100%	In Progress
TBD	Master Drainage Plan	\$1,500,000	\$138,504	\$60,240	\$1,361,496	100%	In Progress
TBD	Storm Drain Maintenance	\$70,000	\$26,165	\$12,713	\$43,835	100%	In Progress
TBD	Chambers Street Drainage Improvements	\$20,000	-	-	\$20,000	100%	TBD
TBD	Cactus Valley Channel	\$1,161,081	-	-	\$1,161,081	100%	TBD
TBD	Avery Canyon	\$2,050,776	-	-	\$2,050,776	100%	TBD
TBD	Pepper Creek	\$4,985,758	-	-	\$4,985,758	100%	TBD
TBD	Menlo Avenue	\$1,459,886	-	-	\$1,459,886	100%	TBD
TBD	Menlo/Cawston	\$365,605	-	-	\$365,605	100%	TBD
	GRAND TOTAL	\$22,536,106	\$584,790	\$326,216	\$21,951,316		

¹ Development Impact Fee Annual and Five-Year Report for the Fiscal Year and Five Years Ending June 30, 2021.

² City of Hemet Trial Balance Expenditure Detail FY 2024-25.

Requirement 7. Description of each interfund transfer or loan made from the account, including the public improvement on which the transferred or loaned fees will be expended, and when each loan will be repaid and the rate of interest the account will receive on the loan.

In FY 2024-25, there were no new transfers or loans made from this fund. However, Fund 326 carries an existing long-term advance receivable of \$354,137.11 loaned to Fund 332 (Fire Facilities). No interest rate or formal repayment schedule has been established for this advance. The City should formalize repayment terms pursuant to Government Code §66006(b)(1)(G).

Requirement 8. The report identifies any refunds issued once it is determined that sufficient funds have been collected to support fee-related projects.

In FY 2024-25, no refunds were made from this fund, and no persons or entities were identified to receive refunds.

Fund 329 – Bridges, Streets, & Traffic Fee

Requirement 1. Brief description of the type of fee in the account or fund.

The Bridges, Streets, & Traffic Fee (formerly known as the Road Facilities Fee) finances the construction of highways, roads, bridges, and traffic signals. The City initiated its DIF Program and the Bridges, Streets, & Traffic Fee on January 23, 2001, through the adoption of Ordinance No. 1639, which involved a revision and renumbering of the City Municipal Code.

On July 26, 2004, the City Council established the current fee amounts for non-residential property through Resolution No. 3837. Subsequently, on January 23, 2006, the City Council adopted Resolution No. 3981, which determined the current fee amounts for residential property based on the recommendations of the Nexus Study dated January 3, 2006, prepared by TischlerBise.

As per Resolution 3981, the rates for non-residential projects were not updated, and it specified that the City Council would consider adjustments to DIFs for commercial and/or industrial projects through separate and future noticed actions.

Requirement 2. Amount of the fee.

Table 329.a provides a summary of the Bridges, Streets, & Traffic Fees for FY 2024-25.

Table 329.a: Bridges, Streets, & Traffic Fee

Land Use Type	Fee Amount – Transportation Uniform Mitigation Fee Exempt	Fee Amount – Transportation Uniform Mitigation Fee Projects
Mobile Home/Senior (per DU)	\$1,537	\$1,537
Multi-Family (per DU)	\$2,030	\$2,030
Single Family (per DU)	\$2,948	\$2,948
Townhome/Duplex (per DU)	\$1,805	\$1,805
Commercial/Office (per SF)	\$2.46	\$2.01
Industrial (per SF)	\$0.414	\$0.325

Requirement 3. Beginning and ending balance in the account or fund.

Table 329.b provides a summary of the initial and final fund balances for the Bridges, Streets, & Traffic Fee during FY 2024-25.

Requirement 4. Amount of fees collected, and the interest earned during the previous year.

Table 329.b provides a summary of the fees collected and the interest earned for the Bridges, Streets, & Traffic Fee during FY 2024-25.

Table 329.b: Bridges, Streets, & Traffic Fee Fund Summary

Fund 329 – Bridges, Streets, & Traffic Fee	
Beginning Fund Balance as of July 1, 2024	\$8,621,529.69
Revenues	
Fees Collected	\$446,299.17
Interest Earned	\$316,923.21
Fair Market Value Adjustment ¹	\$99,565.05
Other Revenues ²	\$413,131.89
Total Revenues	\$1,275,919.32
Expenses	
Project Expenses	\$499,932.04
Other Expenses ³	-
Total Expenses	\$499,932.04
Transfers In	-
Transfers Out	-
Ending Balance as of June 30, 2025	\$9,397,516.97

¹ Fair Market Value Adjustment includes changes to City investment.

² Other Revenues include reimbursements.

³ Other Expenses include consultant services for reporting requirements.

Requirement 5. Identification of each public improvement for which fees were expended and the amount of expenditures, including the total percentage of the cost of the public improvement that was funded with fees.

Table 329.c provides a summary of the expenditures made on Bridges, Streets, & Traffic Fee projects during FY 2024-25.

Requirement 6. An identification of an approximate date by which the construction of the public improvement will commence if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement and the public improvement remains incomplete.

Table 329.c provides a summary of the projected future expenditures for Fund 329 and the expected construction start date. As additional funds become available, the City's Capital Improvement Budget team will diligently identify and allocate funds for eligible projects, incorporating them into future Capital Improvement Program (CIP) budgets.

Table 329.c: Bridges, Streets, & Traffic Fee Project Expenditures

Project No.	Project Name	Project Budget	Fund Expense to Date	Fund Expense FY 2024-25	Fund Future Expenditures	% Funded by Fee	Approx. Construction Start Date
2412	CIP 2412 Stetson/BV Left Signal Upgrade	\$350,000	\$11,380	\$11,380	\$338,620	100%	In Progress
2413	CIP 2413 Kirby/Florida Left Signal Upgrade	\$375,000	\$19,088	\$19,088	\$355,912	100%	In Progress
5421	Traffic Signal @ Warren/Esplanade	\$988,500	\$535,744	-	(\$122,244)	42%	In Progress
5537	Stetson Ave Bridge Replacement	\$1,005,000	\$1,335,123	-	(\$1,285,123)	5%	In Progress
5588	Gilbert St Rehabilitation	\$703,289	\$509,803	-	\$193,486	100%	In Progress
5608	Traffic Signal Emitters Retrofit	\$221,600	\$166,954	-	\$54,646	100%	In Progress
5613	Traffic Signal @ Warren & Auto	\$500,000	\$370,700	-	\$129,300	100%	In Progress
5636	2016/17 Sidewalk & ADA Ramps	\$252,558	\$11,271	-	\$129,337	56%	In Progress
5639	Update DIF Analysis	\$300,000	-	-	\$300,000	100%	TBD
5640	System Safety Analysis Improvements	\$105,000	\$104,753	-	\$247	100%	In Progress
5651	Hwy Safety Improvement Program	\$1,010,366	\$42,701	-	\$36,765	8%	TBD
5668	Interim Seattle Basin Improvements	\$194,603	\$5,397	-	\$189,206	100%	In Progress
5669	2017/18 Sidewalk & ADA Ramps	\$150,000	\$78,951	-	(\$3,951)	50%	In Progress
5689	1819 Missing Link Sidewalks ADA Ramps	\$10,000	\$9,516	-	\$484	100%	In Progress
5706	Esplanade Ave Improvements	\$1,900,000	\$218,147	\$195,448	\$1,486,405	100%	In Progress
5723	Traffic Signal Installation @ Warren & Devonshire	\$1,990,000	\$73,150	\$46,329	\$1,870,521	100%	TBD
5724	Citywide Traffic Signal Visibility Upgrades	\$41,685	\$189,341	\$188,100	(\$189,256)	100%	In Progress
TBD	Warren Road Improvements	\$1,397,311	\$39,010	\$39,010	\$1,319,291	100%	In Progress

Project No.	Project Name	Project Budget	Fund Expense to Date	Fund Expense FY 2024-25	Fund Future Expenditures	% Funded by Fee	Approx. Construction Start Date
TBD	State Street Multi Use Path	\$774,000	-	-	\$774,000	100%	TBD
TBD	State Street Improvements – Florida to Johnston	\$1,240,000	-	-	\$1,240,000	100%	TBD
TBD	Menlo Widening Project	\$1,000,000	-	-	\$1,000,000	100%	TBD
TBD	Carmalita Parking Improvement 2	\$80,000	-	-	\$80,000	100%	TBD
TBD	Citywide Pavement Rehabilitation	\$1,750,000	-	-	\$1,750,000	100%	TBD
TBD	Juanita St Improvements	\$450,000	-	-	\$450,000	100%	TBD
TBD	SCE-LED Streetlight Transition	\$500,000	-	-	\$500,000	100%	TBD
5449	Sanderson at Empire Homes	\$15,032	\$15,032	-	-	100%	In Progress
	GRAND TOTAL	\$15,406,633	\$3,757,205	\$499,932	\$11,649,428		

¹ Development Impact Fee Annual and Five-Year Report for the Fiscal Year and Five Years Ending June 30, 2021.

² City of Hemet Trial Balance Expenditure Detail FY 2024-25.

³ Negative future expenditure values indicate that total expenditures to date have exceeded the original project budget. Additional funding from other sources has been or will be identified to cover the cost overrun. The DIF-funded portion remains as shown in the “% Funded by Fee” column.

Requirement 7. Description of each interfund transfer or loan made from the account, including the public improvement on which the transferred or loaned fees will be expended, and when each loan will be repaid and the rate of interest the account will receive on the loan.

In FY 2024-25, there were no new transfers or loans made from this fund.

Requirement 8. The report identifies any refunds issued once it is determined that sufficient funds have been collected to support fee-related projects.

In FY 2024-25, no refunds were made from this fund, and no persons or entities were identified to receive refunds.

Fund 331 – Law Enforcement Facilities Fee

Requirement 1. Brief description of the type of fee in the account or fund.

The Law Enforcement Facilities Fee finances various law enforcement facilities, including law enforcement stations, vehicles, vehicle equipment, officer apparel and equipment, and communications and electronic equipment. The City initiated its DIF Program and the Law Enforcement Facilities Fee on January 23, 2001, through the adoption of Ordinance No. 1639, which involved a revision and renumbering of the City Municipal Code.

On July 26, 2004, the City Council established the current fee amounts for non-residential property through Resolution No. 3837. Subsequently, on January 23, 2006, the City Council adopted Resolution No. 3981, which determined the current fee amounts for residential property based on the recommendations of the Nexus Study dated January 3, 2006, prepared by TischlerBise.

As per Resolution 3981, the rates for non-residential projects were not updated, and it specified that the City Council would consider adjustments to DIFs for commercial and/or industrial projects through separate and future noticed actions.

Requirement 2. Amount of the fee.

Table 331.a provides a summary of the Law Enforcement Facilities Fees for FY 2024-25.

Table 331.a: Law Enforcement Facilities Fee

Land Use Type	Fee Amount
Mobile Home/Senior (per DU)	\$298
Multi-Family (per DU)	\$404
Single Family (per DU)	\$471
Townhome/Duplex (per DU)	\$357
Commercial/Office (per SF)	\$0.223
Industrial (per SF)	\$0.013

Requirement 3. Beginning and ending balance in the account or fund.

Table 331.b provides a summary of the initial and final fund balances for the Law Enforcement Facilities Fee during FY 2024-25.

Requirement 4. Amount of fees collected, and the interest earned during the previous year.

Table 331.b provides a summary of the fees collected and the interest earned for the Law Enforcement Facilities Fee during FY 2024-25.

Table 331.b: Law Enforcement Facilities Fee Fund Summary

Fund 331 – Law Enforcement Facilities Fee	
Beginning Fund Balance as of July 1, 2024	\$864,916.24
Revenues	
Fees Collected	\$76,689.81
Interest Earned	\$29,550.64
Fair Market Value Adjustment ¹	\$9,283.67
Other Revenues ²	-
Total Revenues	\$115,524.12
Expenses	
Project Expenses	-
Other Expenses ³	-
Total Expenses	\$0.00
Transfers In	-
Transfers Out	-
Ending Balance as of June 30, 2025	\$980,440.36

¹ Fair Market Value Adjustment includes changes to City investment.

² Other Revenues include reimbursements.

³ Other Expenses include consultant services for reporting requirements.

Requirement 5. Identification of each public improvement for which fees were expended and the amount of expenditures, including the total percentage of the cost of the public improvement that was funded with fees.

During FY 2024-25, no project expenditures were recorded for Fund 331.

Requirement 6. An identification of an approximate date by which the construction of the public improvement will commence if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement and the public improvement remains incomplete.

Table 331.c provides a summary of the projected future expenditures for Fund 331 and the expected construction start date. As additional funds become available, the City's Capital Improvement Budget team will diligently identify and allocate funds for eligible projects, incorporating them into future Capital Improvement Program (CIP) budgets.

Table 331.c: Law Enforcement Facilities Fee Project Expenditures

Project No.	Project Name	Project Budget	Fund Expense to Date	Fund Expense FY 2024-25	Fund Future Expenditures	% Funded by Fee	Approx. Construction Start Date
5667	Police Facility Security Renovation	\$1,527,000	\$83,837	-	-	5%	In Progress
TBD	Server Migration/Upgrades – Comtronix	\$82,825	-	-	\$82,825	100%	TBD
TBD	Evidence Building – Design Phase	\$29,137	-	-	\$29,137	100%	TBD
	GRAND TOTAL	\$1,638,962	\$83,837	-	\$111,962		

¹ Development Impact Fee Annual and Five-Year Report for the Fiscal Year and Five Years Ending June 30, 2021.

² City of Hemet Trial Balance Expenditure Detail FY 2024-25.

Requirement 7. Description of each interfund transfer or loan made from the account, including the public improvement on which the transferred or loaned fees will be expended, and when each loan will be repaid and the rate of interest the account will receive on the loan.

In FY 2024-25, there were no new transfers or loans made from this fund.

Requirement 8. The report identifies any refunds issued once it is determined that sufficient funds have been collected to support fee-related projects.

In FY 2024-25, no refunds were made from this fund, and no persons or entities were identified to receive refunds.

Fund 332 – Fire Facilities Fee

Requirement 1. Brief description of the type of fee in the account or fund.

The Fire Facilities Fee is allocated to finance fire suppression facilities, which include fire stations, response and prevention vehicles, and firefighter apparel and equipment. The City introduced its DIF Program and the Fire Facilities Fee on January 23, 2001, with the adoption of Ordinance No. 1639, resulting in a revision and renumbering of the City Municipal Code.

On July 26, 2004, Resolution No. 3837 established the current fee amounts for non-residential property. Subsequently, on January 23, 2006, the City Council adopted Resolution No. 3981, determining the current fee amounts for residential property based on the recommendations of the Nexus Study dated January 3, 2006, prepared by TischlerBise. As per Resolution 3981, the rates for non-residential projects remained unchanged, with the City Council planning to consider adjustments to DIFs for commercial and/or industrial projects through separate and future noticed actions.

Requirement 2. Amount of the fee.

Table 332.a provides a summary of the Fire Facilities Fees for FY 2024-25.

Table 332.a: Fire Facilities Fee

Land Use Type	Fee Amount
Mobile Home/Senior (per DU)	\$354
Multi-Family (per DU)	\$480
Single Family (per DU)	\$560
Townhome/Duplex (per DU)	\$424
Commercial/Office (per SF)	\$0.240
Industrial (per SF)	\$0.056

Requirement 3. Beginning and ending balance in the account or fund.

Table 332.b provides a summary of the initial and final fund balances for the Fire Facilities Fee during FY 2024-25.

Requirement 4. Amount of fees collected, and the interest earned during the previous year.

Table 332.b provides a summary of the fees collected and the interest earned for the Fire Facilities Fee during FY 2024-25.

Table 332.b: Fire Facilities Fee Fund Summary

Fund 332 – Fire Facilities Fee	
Beginning Fund Balance as of July 1, 2024	\$1,586,782.31
Revenues	

Fund 332 – Fire Facilities Fee	
Fees Collected	\$126,929.32
Interest Earned	\$161,380.88
Fair Market Value Adjustment ¹	\$50,699.65
Other Revenues ²	-
Total Revenues	\$339,009.85
Expenses	
Project Expenses	-
Other Expenses ³	-
Total Expenses	\$0.00
Transfers In	-
Transfers Out	-
Ending Balance as of June 30, 2025	\$1,925,792.16

¹ Fair Market Value Adjustment includes changes to City investment.

² Other Revenues include reimbursements.

³ Other Expenses include consultant services for reporting requirements.

Requirement 5. Identification of each public improvement for which fees were expended and the amount of expenditures, including the total percentage of the cost of the public improvement that was funded with fees.

During FY 2024-25, no project expenditures were recorded for Fund 332.

Requirement 6. An identification of an approximate date by which the construction of the public improvement will commence if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement and the public improvement remains incomplete.

Table 332.c provides a summary of the projected future expenditures for Fund 332 and the expected construction start date. As additional funds become available, the City's Capital Improvement Budget team will diligently identify and allocate funds for eligible projects, incorporating them into future Capital Improvement Program (CIP) budgets.

Table 332.c: Fire Facilities Fee Project Expenditures

Project No.	Project Name	Project Budget	Fund Expense to Date	Fund Expense FY 2024-25	Fund Future Expenditures	% Funded by Fee	Approx. Construction Start Date
5610	Fire Station #5 Improvements	\$175,000	\$25,458	-	\$149,542	100%	In Progress

Project No.	Project Name	Project Budget	Fund Expense to Date	Fund Expense FY 2024-25	Fund Future Expenditures	% Funded by Fee	Approx. Construction Start Date
5643	Fire Station #1 Batt Chief Area Remodel	\$95,000	\$51,888	-	\$43,112	100%	In Progress
5679	Fire Station Facility Upgrades	\$57,222	\$57,222	-	-	100%	TBD
TBD	Fire Station #6 Construction	\$1,932,847	-	-	\$1,932,847	100%	TBD
TBD	Misc Tools, Fire Fighting Equipment	\$27,373	-	-	\$27,373	100%	TBD
TBD	Electronic Patient Care Reporting Tablets (EPCR)	\$40,000	-	-	\$40,000	100%	TBD
	GRAND TOTAL	\$2,327,442	\$134,568	-	\$2,192,874		

¹ Development Impact Fee Annual and Five-Year Report for the Fiscal Year and Five Years Ending June 30, 2021.

² City of Hemet Trial Balance Expenditure Detail FY 2024-25.

Requirement 7. Description of each interfund transfer or loan made from the account, including the public improvement on which the transferred or loaned fees will be expended, and when each loan will be repaid and the rate of interest the account will receive on the loan.

In FY 2024-25, there were no new transfers or loans made from this fund. However, Fund 332 carries an existing long-term advance payable of \$354,137.11 owed to Fund 326 (Flood Control). No interest rate or formal repayment schedule has been established for this advance. The City should formalize repayment terms pursuant to Government Code §66006(b)(1)(G).

Requirement 8. The report identifies any refunds issued once it is determined that sufficient funds have been collected to support fee-related projects.

In FY 2024-25, no refunds were made from this fund, and no persons or entities were identified to receive refunds.

Fund 361 – Park Development Fee

Requirement 1. Brief description of the type of fee in the account or fund.

The Park Development Fee (formerly known as the Parks and Recreation Facilities Fee) funds the development of parks and recreational facilities. The City introduced its DIF Program and the Park Development Fee on January 23, 2001, through the adoption of Ordinance No. 1639, which involved a revision and renumbering of the City Municipal Code. On January 23, 2006, the City Council adopted Resolution No. 3981, determining the current fee amounts for residential property based on the recommendations of the Nexus Study dated January 3, 2006, prepared by TischlerBise.

Requirement 2. Amount of the fee.

Table 361.a provides a summary of the Park Development Fees for FY 2024-25.

Table 361.a: Park Development Fee

Land Use Type	Fee Amount
Mobile Home/Senior (per DU)	\$920
Multi-Family (per DU)	\$1,247
Single Family (per DU)	\$1,453
Townhome/Duplex (per DU)	\$1,101

Requirement 3. Beginning and ending balance in the account or fund.

Table 361.b provides a summary of the initial and final fund balances for the Park Development Fee during FY 2024-25.

Requirement 4. Amount of fees collected, and the interest earned during the previous year.

Table 361.b provides a summary of the fees collected and the interest earned for the Park Development Fee during FY 2024-25.

Table 361.b: Park Development Fee Fund Summary

Fund 361 – Park Development Fee	
Beginning Fund Balance as of July 1, 2024	\$3,310,851.62
Revenues	
Fees Collected	\$210,545.68
Interest Earned	\$110,570.38
Fair Market Value Adjustment ¹	\$34,736.95
Other Revenues ²	-
Total Revenues	\$355,853.01

Fund 361 – Park Development Fee Expenses	
Project Expenses	\$18,259.59
Other Expenses ³	-
Total Expenses	\$18,259.59
Transfers In	-
Transfers Out	-
Ending Balance as of June 30, 2025	\$3,648,445.04

¹ Fair Market Value Adjustment includes changes to City investment.

² Other Revenues include reimbursements.

³ Other Expenses include consultant services for reporting requirements.

Requirement 5. Identification of each public improvement for which fees were expended and the amount of expenditures, including the total percentage of the cost of the public improvement that was funded with fees.

Table 361.c provides a summary of the expenditures made in the past year on Park Development Fee projects.

Requirement 6. An identification of an approximate date by which the construction of the public improvement will commence if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement and the public improvement remains incomplete.

Table 361.c provides a summary of the projected future expenditures for Fund 361 and the expected construction start date. As additional funds become available, the City's Capital Improvement Budget team will diligently identify and allocate funds for eligible projects, incorporating them into future Capital Improvement Program (CIP) budgets.

Table 361.c: Park Development Fee Project Expenditures

Project No.	Project Name	Project Budget	Fund Expense to Date	Fund Expense FY 2024-25	Fund Future Expenditures	% Funded by Fee	Approx. Construction Start Date
TBD	National Fitness Campaign Grant	\$268,911	\$302,781	-	(\$33,870)	100%	In Progress
5777	CIP 5777 Skate Plaza Lighting and Shade	\$110,000	\$18,260	\$18,260	\$91,740	100%	In Progress
TBD	City-wide Park Master Plan	\$300,000	-	-	\$300,000	100%	TBD
TBD	Handi-capable Park Play Area	\$175,000	-	-	\$175,000	100%	TBD
TBD	Salt Creek Trail Project	\$500,000	-	-	\$500,000	100%	TBD

Project No.	Project Name	Project Budget	Fund Expense to Date	Fund Expense FY 2024-25	Fund Future Expenditures	% Funded by Fee	Approx. Construction Start Date
TBD	Skate Park	\$400,000	\$72,874	-	\$327,126	100%	In Progress
TBD	Splash Park	\$200,000	-	-	\$200,000	100%	TBD
	GRAND TOTAL	\$1,953,911	\$393,915	\$18,260	\$1,560,996		

¹ Development Impact Fee Annual and Five-Year Report for the Fiscal Year and Five Years Ending June 30, 2021.

² City of Hemet Trial Balance Expenditure Detail FY 2024-25.

³ Negative future expenditure values indicate that total expenditures to date have exceeded the original project budget. Additional funding from other sources has been or will be identified to cover the cost overrun. The DIF-funded portion remains as shown in the "% Funded by Fee" column.

Requirement 7. Description of each interfund transfer or loan made from the account, including the public improvement on which the transferred or loaned fees will be expended, and when each loan will be repaid and the rate of interest the account will receive on the loan.

In FY 2024-25, there were no new transfers or loans made from this fund.

Requirement 8. The report identifies any refunds issued once it is determined that sufficient funds have been collected to support fee-related projects.

In FY 2024-25, no refunds were made from this fund, and no persons or entities were identified to receive refunds.

Fund 362 – Valley-Wide Park Development Fee

Requirement 1. Brief description of the type of fee in the account or fund.

The Valley-Wide Park Development Fee supports enhancements at Diamond Valley Lake Community Park, a property owned and operated by Valley Wide Recreation and Park District. The City initially implemented its DIF Program on January 23, 2001, with the adoption of Ordinance No. 1639, involving revisions and renumbering of the City Municipal Code. Subsequently, on August 22, 2006, the Valley Wide Facilities Fee Fund was authorized, and it received an allocation of 16.3% from all new Park Development impact fees.

Requirement 2. Amount of the fee.

Table 362.a provides a summary of the Valley-Wide Park Development Fees for FY 2024-25.

Table 362.a: Valley-Wide Park Development Fee

Land Use Type	Fee Amount
Mobile Home/Senior (per DU)	\$179
Multi-Family (per DU)	\$243
Single Family (per DU)	\$283
Townhome/Duplex (per DU)	\$214

Requirement 3. Beginning and ending balance in the account or fund.

Table 362.b provides a summary of the initial and final fund balances for the Valley-Wide Park Development Fee during FY 2024-25.

Requirement 4. Amount of fees collected, and the interest earned during the previous year.

Table 362.b provides a summary of the fees collected and the interest earned for the Valley-Wide Park Development Fee during FY 2024-25.

Table 362.b: Valley-Wide Park Development Fee Fund Summary

Fund 362 – Valley-Wide Park Development Fee	
Beginning Fund Balance as of July 1, 2024	\$548,630.14
Revenues	
Fees Collected	\$34,322.66
Interest Earned	\$18,348.61
Fair Market Value Adjustment ¹	\$5,764.42
Other Revenues ²	-
Total Revenues	\$58,435.69

Fund 362 – Valley-Wide Park Development Fee Expenses	
Project Expenses	-
Other Expenses ³	-
Total Expenses	\$0.00
Transfers In	-
Transfers Out	-
Ending Balance as of June 30, 2025	\$607,065.83

¹ Fair Market Value Adjustment includes changes to City investment.

² Other Revenues include reimbursements.

³ Other Expenses include consultant services for reporting requirements.

Requirement 5. Identification of each public improvement for which fees were expended and the amount of expenditures, including the total percentage of the cost of the public improvement that was funded with fees.

No project expenditures were documented for Fund 362 during FY 2024-25.

Requirement 6. An identification of an approximate date by which the construction of the public improvement will commence if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement and the public improvement remains incomplete.

Table 362.c provides a summary of the projected future expenditures for Fund 362 and the expected construction start date. As additional funds become available, the City's Capital Improvement Budget team will diligently identify and allocate funds for eligible projects, incorporating them into future Capital Improvement Program (CIP) budgets.

Table 362.c: Valley-Wide Park Development Fee Project Expenditures

Project No.	Project Name	Project Budget	Fund Expense to Date	Fund Expense FY 2024-25	Fund Future Expenditures	% Funded by Fee	Approx. Construction Start Date
TBD	Park expansion in coordination with Valley Wide Recreation & Parks – proposed Park Master Plan land purchase and facilities – City Portion	\$150,000	-	-	\$150,000	100%	TBD
	GRAND TOTAL	\$150,000	-	-	\$150,000		

¹ Development Impact Fee Annual and Five-Year Report for the Fiscal Year and Five Years Ending June 30, 2021.

² City of Hemet Trial Balance Expenditure Detail FY 2024-25.

Requirement 7. Description of each interfund transfer or loan made from the account, including the public improvement on which the transferred or loaned fees will be expended,

and when each loan will be repaid and the rate of interest the account will receive on the loan.

In FY 2024-25, there were no new transfers or loans made from this fund.

Requirement 8. The report identifies any refunds issued once it is determined that sufficient funds have been collected to support fee-related projects.

In FY 2024-25, no refunds were made from this fund, and no persons or entities were identified to receive refunds.

Fund 363 – Library Facilities Fee

Requirement 1. Brief description of the type of fee in the account or fund.

The Library Facilities Fee is designated to support library facilities. The City introduced its DIF Program and the Library Facilities Fee on January 23, 2001, through the adoption of Ordinance No. 1639, which involved revising and renumbering the City Municipal Code. Subsequently, on January 23, 2006, the City Council adopted Resolution No. 3981, establishing the current fee amounts for the Library Facilities Fee concerning residential properties, as per the recommendations from the Nexus Study dated January 3, 2006, conducted by TischlerBise.

Requirement 2. Amount of the fee.

Table 363.a provides a summary of the Library Facilities Fees for FY 2024-25.

Table 363.a: Library Facilities Fee

Land Use Type	Fee Amount
Mobile Home/Senior (per DU)	\$465
Multi-Family (per DU)	\$631
Single Family (per DU)	\$735
Townhome/Duplex (per DU)	\$557

Requirement 3. Beginning and ending balance in the account or fund.

Table 363.b provides a summary of the initial and final fund balances for the Library Facilities Fee during FY 2024-25.

Requirement 4. Amount of fees collected, and the interest earned during the previous year.

Table 363.b provides a summary of the fees collected and the interest earned for the Library Facilities Fee during FY 2024-25.

Table 363.b: Library Facilities Fee Fund Summary

Fund 363 – Library Facilities Fee	
Beginning Fund Balance as of July 1, 2024	\$1,345,951.98
Revenues	
Fees Collected	\$88,406.90
Interest Earned	\$42,770.29
Fair Market Value Adjustment ¹	\$13,436.78
Other Revenues ²	-
Total Revenues	\$144,613.97

Fund 363 – Library Facilities Fee Expenses	
Project Expenses	\$137,709.98
Other Expenses ³	-
Total Expenses	\$137,709.98
Transfers In	-
Transfers Out	-
Ending Balance as of June 30, 2025	\$1,352,855.97

¹ Fair Market Value Adjustment includes changes to City investment.

² Other Revenues include reimbursements.

³ Other Expenses include consultant services for reporting requirements.

Requirement 5. Identification of each public improvement for which fees were expended and the amount of expenditures, including the total percentage of the cost of the public improvement that was funded with fees.

Table 363.c provides a summary of the expenditures documented for Fund 363 during FY 2024-25.

Requirement 6. An identification of an approximate date by which the construction of the public improvement will commence if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement and the public improvement remains incomplete.

Table 363.c provides a summary of the projected future expenditures for Fund 363 and the expected construction start date. As additional funds become available, the City's Capital Improvement Budget team will diligently identify and allocate funds for eligible projects, incorporating them into future Capital Improvement Program (CIP) budgets.

Table 363.c: Library Facilities Fee Project Expenditures

Project No.	Project Name	Project Budget	Fund Expense to Date	Fund Expense FY 2024-25	Fund Future Expenditures	% Funded by Fee	Approx. Construction Start Date
TBD	Capital Outlay for Books, Audio Visual Materials, Databases for Patron Use	\$350,000	\$124,291	-	\$225,709	100%	In Progress
TBD	Library Services Operating	\$22,000	\$12,802	\$12,802	\$9,198	100%	In Progress
TBD	Adult Services Program	\$144,500	\$107,466	\$107,466	\$37,034	100%	In Progress
TBD	Child Services Program	\$20,500	\$14,432	\$14,432	\$6,068	100%	In Progress
TBD	Adult Literacy Program	\$6,200	\$3,010	\$3,010	\$3,190	100%	In Progress
TBD	Solar Parking Covers	\$400,000	-	-	\$400,000	100%	TBD

Project No.	Project Name	Project Budget	Fund Expense to Date	Fund Expense FY 2024-25	Fund Future Expenditures	% Funded by Fee	Approx. Construction Start Date
TBD	Energy Upgrades: Chillers, Energy Management System	\$650,000	-	-	\$650,000	100%	TBD
TBD	Generator	\$200,000	-	-	\$200,000	100%	TBD
TBD	Exterior Book Vending Device	\$200,000	-	-	\$200,000	100%	TBD
TBD	Early Learning Center	\$50,000	-	-	\$50,000	100%	TBD
	GRAND TOTAL	\$2,043,200	\$261,001	\$137,710	\$1,281,199		

¹ Development Impact Fee Annual and Five-Year Report for the Fiscal Year and Five Years Ending June 30, 2021.

² City of Hemet Trial Balance Expenditure Detail FY 2024-25.

Requirement 7. Description of each interfund transfer or loan made from the account, including the public improvement on which the transferred or loaned fees will be expended, and when each loan will be repaid and the rate of interest the account will receive on the loan.

In FY 2024-25, there were no new transfers or loans made from this fund.

Requirement 8. The report identifies any refunds issued once it is determined that sufficient funds have been collected to support fee-related projects.

In FY 2024-25, no refunds were made from this fund, and no persons or entities were identified to receive refunds.

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